

State of Alaska – Office of the Governor — 34th Alaska State Legislature – Second Session
DEPARTMENT REVIEW – PASSED LEGISLATION

BLUE SHEET

Blue Sheets are a department's final bill analysis and provides the Commissioner an opportunity to weigh in on legislation that has passed, with a recommendation to the Governor on action that may be taken– to enact the bill, to veto the bill, or to allow the bill to become Law without signature (LWOS). Much of the information requested in the Blue Sheet can be taken from the department's bill analyses (BA), which were initially submitted at the time the bill was introduced and updated throughout the legislative process.

Blue sheets are due to the GLO three days after the enrolled bill appears on basis, or sooner by request.

Department: DOH

Date: 5/15/2026

Bill Number: HB36

Short Title (as it appears on BASIS): FOSTER CHILDREN PSYCHIATRIC TREATMENT

What action do you recommend the Governor take?

Select one.

☐ SIGN ☒ VETO ☐ LWOS

Action Justification – Why do you recommend the above action?

Please be specific.

HB 36 creates a new licensure type that requires extensive coordination and technical revision between the Department of Health, Division of Senior and Disabilities Services, Department of Health Division of Behavioral Health and the Department of Family and Community Services. This process is technical and work to correctly align these efforts is still ongoing. DFCS removed the request for this legislation in recognition that the path forward was unclear.

HB 36 amends the definition of “foster care” in AS 47.10.990 to include treatment foster homes, which could have implications for federal Medicaid reimbursement. This new license type will intersect operationally with DOH and require interdepartmental coordination to implement because it may impact how foster homes currently enroll and bill for services under the Alaska Medicaid program (especially under waiver services for the Division of Senior and Disabilities Services and Division of Behavioral Health). DOH will need to assess future regulatory and state plan updates needed to reflect the license type. If all currently licensed foster homes providing home and community-based waiver services need to be re-licensed as treatment foster

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homes and the qualifying criteria changes, this would be a significant operational change for Medicaid home and community-based waiver providers who already provide Medicaid services and could jeopardize current providers if there are billing limitations around Medicaid service preventing the provider from also billing for Medicaid home and community-based waiver services.

What does this Bill do?

In addition to providing a succinct bill summary, please also consider the following: Why is this bill needed? How does it specifically change department programs? What is the anticipated impact on the public, the private sector? Does this bill align with the priorities of Governor Dunleavy?

HB 36 makes statutory changes to Alaska’s child welfare and Medicaid eligibility laws to establish a new treatment foster home license category and enhance procedural safeguards for psychiatric placements of youth in state custody. The bill also amends AS 47.07.020(b) to expand optional Medicaid eligibility groups, enabling the state to claim federal financial participation for certain foster children and minors receiving behavioral health care.

HB 36 imposes new requirements, limitations, and oversight on treatment in hospitals of children in Department of Family and Community Services (DFCS) custody. The bill responds to *Native Village of Kwinhagak v. State* which discusses a lack of statutory parameters on continued psychiatric hospitalization of children in custody.

HB 36 includes a statutory definition for a new license type under DFCS, a “treatment foster home,” now recognized as a distinct placement type for children with special behavioral, developmental, emotional, or medical needs. Treatment foster homes must provide 24-hour care and “specialized services,” which include trauma-informed care, mental health interventions, and medical care. Regulatory guidance is anticipated to clarify expectations and ensure appropriate safeguards are in place.

HB 36 amends the definition of “foster care” in AS 47.10.990 to include treatment foster homes, which may have implications for federal Medicaid reimbursement. This new license type will intersect operationally with the Department of Health (DOH) and require interdepartmental coordination to implement because it may impact how foster homes currently enroll and bill for services under the Alaska Medicaid program, especially under waiver services for the Division of Senior and Disability Services (SDS) and the Division of Behavioral Health (DBH). DOH will need to assess future regulatory and state plan updates needed to reflect the license type.

The Department of Family and Community Services (DFCS) is responsible for implementing most of the bill’s provisions, including licensing and oversight of treatment foster homes, enforcing trauma-informed training requirements, managing psychiatric placement notifications,

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and carrying out expanded duties related to child welfare case management.

The Department of Health (DOH) is assigned responsibility in Sections 18 through 20 of the bill, which require the department to submit Medicaid state plan amendments or apply for any necessary federal waivers to secure federal approval for the Medicaid eligibility expansions authorized in Section 2.

The expansions include individuals who are eligible for, but not receiving, benefits under Title XVI of the Social Security Act (Supplemental Security Income), or those who would qualify under the income standards of the former Aid to Families with Dependent Children (AFDC) program, now functionally replaced by Temporary Assistance for Needy Families (TANF). Although the bill does not reference specific federal waiver authorities (e.g., §1915(c) or §1115 of the Social Security Act), the language is broad enough to permit application under those authorities; however, regulatory precision will be necessary to ensure compliance with federal Medicaid requirements.

Detailed Sectional Analysis

The full sectional analysis of the bill should be completed by the lead agency. Other departments should include an analysis for sections of the bill affecting their agencies.

Key sections of the bill with impacts for the Department of Health include:

Section 2 AS 47.07.020(b) is amended:

- Adds treatment foster homes to groups eligible for claiming federal Medicaid funds to the Alaska statute governing who is eligible for Medicaid if they meet criteria under federal law, SSI (Supplemental Security Income) governed by 42 U.S.C. §§ 1381–1383c and AFDC (Aid to Families with Dependent Children) successor program, refers to Temporary Assistance for Needy Families (TANF).

Sections 18–19 Uncodified law is amended by adding a new section:

- Requires the Department of Health to submit State Plan Amendments or waivers for Medicaid changes. Effective date of Section 5 contingent upon federal approval of these waivers (by July 1, 2031).

Section 20: Effective date for section 2

- The effective date for section 2 is the later date between July 1, 2028, and the day after the U.S. Department of Health and Human Services approves waivers or amendments to the state plan submitted under section 18.

Section 26: Effective Dates for sections 1, 5-7, 9-15, 18, and 19:

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Take effect July 1, 2028.

Companion or Similar Bills

Please note companion legislation, the sponsor of the companion legislation, and identify any “rider” bills or provisions from other legislation that was included in this final bill. Please include the name of the sponsor of the “rider bill” or provision. If it was added as an amendment in a committee – please indicate the name of the legislator that sponsored the amendment.

HB 36 does not have a companion bill. In Senate Judiciary the bill gained language on Treatment Foster Homes. This was initially requested by the Department of Family and Community Services in 2025, however DFCS rescinded that request in 2026. Rep Gray refused to remove the sections as requested.

Support/Opposition of the Bill

Please identify names, organizations, titles, and phones numbers of those who testified in support or in opposition of this bill.

Support:

- Amanda Metivier, Co-Founder of Facing Foster Care in Alaska, Anchorage; info@ffcalaska.org
- Kxlo (Kee-Low) Stone, Statewide Youth Leadership Board Member, Facing Foster Care in Alaska, Anchorage; info@ffcalaska.org
- Barbara Malchick, Legal Committee Chair, Facing Foster Care in Alaska, Anchorage, info@ffcalaska.org
- Cory Goheen, Chapter Chair, Family Focused Treatment Association, Ketchikan, (907) 886-6911 (w)
- Leon Jaimes, Anchorage, (907) 244-2820

Opposition:

- Kelly Richardson, Citizens Commission on Human Rights

Bill Signing ceremony suggestions (if applicable)

Please provide information for consideration for a bill signing ceremony. Information that is helpful includes: a specific conference, event, venue, date, and the names and contact information of stakeholders who should be considered for an invitation to the bill signing ceremony.

Commissioner’s Signature: _____ **Date:**

I have reviewed the above information and provided it to the Governor’s Legislative Office for consideration of an action by the Governor on legislation passed during the second session of the 34th Alaska State Legislature.

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